



Collusion

Outlines

- Collusion
- Cartel
- Assumptions



Collusion

- Collusion is a secretive agreement between competing entities to coordinate actions, such as fixing prices or dividing markets, to gain unfair advantages at the expense of consumers and fair competition. (Salvatore, Dominick. "Managerial Economics in a Global Economy." Oxford University Press, 2007, p. 305.)

collusive oligopoly

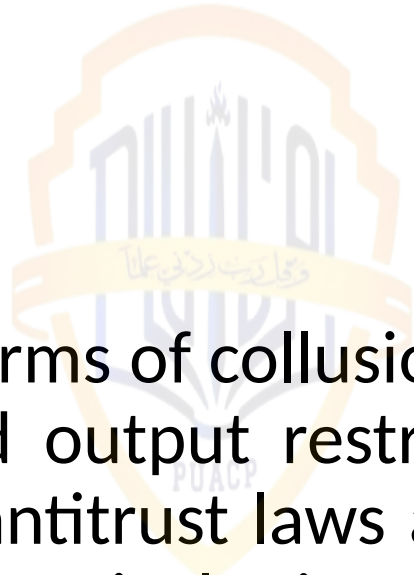
- A collusive oligopoly refers to a situation where a small number of firms in an industry enter into mutual agreements to avoid competition by coordinating their actions, such as setting prices or dividing markets, with the aim of maximizing their collective profits at the expense of consumers and fair market competition.

characteristics of collusion

- Key characteristics of collusion include:
- **Cooperation:** Collusion involves firms cooperating with each other rather than competing independently in the market.
- **Secretive or Implicit Agreement:** Collusion may be formalized through explicit agreements or can be implicit, understood without being openly stated.

characteristics of collusion

- **Common Objective:** Colluding parties aim to achieve a common goal that benefits all participants, such as maximizing profits, controlling market share, or reducing competition.
- **Restriction of Competition:** Collusion typically results in the restriction of competition, which can lead to higher prices, reduced consumer choice, and decreased market efficiency.



- Common forms of collusion include price-fixing, market allocation, bid rigging, and output restrictions. Collusion is generally illegal and is subject to antitrust laws and regulations in many countries. Antitrust authorities actively investigate and prosecute collusion cases to protect competition and consumer welfare in the marketplace.

Cartel

- A cartel is a group of independent firms or countries in a particular industry that agree to coordinate their actions to control prices, limit competition, and maximize their collective profits. Cartels typically operate in oligopolistic markets where a small number of firms dominate the industry.

Key characteristics of cartels

- Key characteristics of cartels include:
- **Price Fixing:** Cartels often engage in price-fixing agreements where member firms agree to set prices at artificially high levels to maximize profits.
- **Output Restriction:** Cartels may restrict the quantity of goods or services produced by member firms to create artificial scarcity and maintain higher prices.
- **Market Allocation:** Cartels may divide markets among member firms, allowing each firm to operate in a specific geographical area or serve certain customer segments without competing with each other.



- **Collusive Behavior:** Cartels engage in collusive behavior, including secret or explicit agreements, to coordinate their actions and avoid competing with each other.
- **Enforcement Mechanisms:** Cartels often have mechanisms in place to enforce compliance with their agreements, such as monitoring and surveillance systems, penalties for non-compliance, and mechanisms for resolving disputes among members.

Conclusion

- Cartels are typically illegal in most countries because they undermine competition, harm consumer welfare, and distort market outcomes. Antitrust laws and competition authorities are responsible for detecting and prosecuting cartel activities, imposing fines, and implementing measures to prevent and deter cartel behavior in the marketplace. Examples of cartels include the Organization of the Petroleum Exporting Countries (OPEC) in the oil industry and international drug cartels in the illegal drug trade.